

Paytm Hisaab

Every rupee, on your side.

The agent that lets a merchant account for their own money when someone in authority demands an explanation.

Agent Labs Buildathon · Phinite × Paytm · Track 2: AI for Small Businesses

Haveri, 2025

A vegetable vendor opens an envelope

He sells vegetables. Vegetables are **exempt** from GST.

He also took UPI, because Paytm asked him to.

Four years of credits into his account, added up and billed as income:

₹29 lakh

Withdrawn for the traders who could *show* what they sold. Most could not. And tax is no longer the only authority asking.

Within weeks, on shutters across Karnataka:

**"No UPI.
Cash only."**

A statewide boycott, by the merchants who had just adopted it.

And this is not a 2025 story

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GST Notices on the Rise: Key Issues, Common Mismatches and Major Compliance Areas Taxpayers Must Review

 CA VARUN GUPTA | Last updated: 02 September 2026

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"During August 2026, the GST Department issued a significant number of notices covering different financial years and involving a wide range of issues... They covered matters such as ITC mismatches, ineligible credit, **differences in turnover**, wrong GST classification or rate, **exemption claims**, Reverse Charge Mechanism..."

Those two categories are the whole content of an evidence pack. And this is the *slower* of the two authorities. The other one freezes the account first.

Every rupee a merchant receives is now evidence

Today it is only ever used against them

The cyber-crime police

Fraud money layers through accounts within minutes. The shop at the end of the chain, the one that sold someone a watermelon, is frozen. It did nothing wrong, is not named in the FIR, and finds out when a payment declines.

The tax department

Compares UPI collections against filed returns and bills the difference. Registered traders too, with QR, wallet, card and cash deposits all in scope.

Both demand the same artefact: **what was each rupee, actually?**

Paytm already sees more of this than anyone. What is missing is the *merchant's own answer*, captured when it is still knowable.

What it costs Paytm: a frozen merchant stops transacting that morning. A frightened one takes the QR down for good. Dead Soundbox, zero GMV, no lending origination.

Gross credits are not turnover

One shop, one year, ₹60.98 lakh of credits

WHAT THE NOTICE COUNTS AS TURNOVER

₹60.98 lakh

WHAT ACTUALLY HAPPENED



Personal money does not belong on a business QR. It arrives anyway, reads as turnover, and hides the one credit the police will ask about.

The insight

Most teams would build the tax tool *or* the fraud tool. They are the same engine.

Both are downstream
reads of one ledger.
Two output formats,
not two products.

**Provenance Ledger
a merchant-attested
label on every
incoming credit**

**The disputed rupee
freeze pack, NCRP grievance**

**Defensible turnover
threshold watch, notice pack**

The wedge nobody else has.

Khatabook and Vyapar keep books after the fact. ClearTax files after the fact.
Neither sits on the rail *at the moment money moves*. Paytm does.

Classification is cheap at the instant of the transaction,
and unrecoverable eighteen months later.

The engine

Eight tags, one tap

Every incoming credit gets one tag

taxable_supply	ordinary sale
exempt_supply	vegetables, milk, loose rice
personal_transfer	spouse, parent, sibling
inter_account	her own money
refund_reversal	money back from a vendor
duplicate	paid twice, one refunded
non_business	loan, chit payout, gift
unclassified	not enough signal: ask her

98.6% are ordinary sales, settled by rules. The agent reasons only about the 1.4% that need judgement.

The agent proposes. The merchant attests.

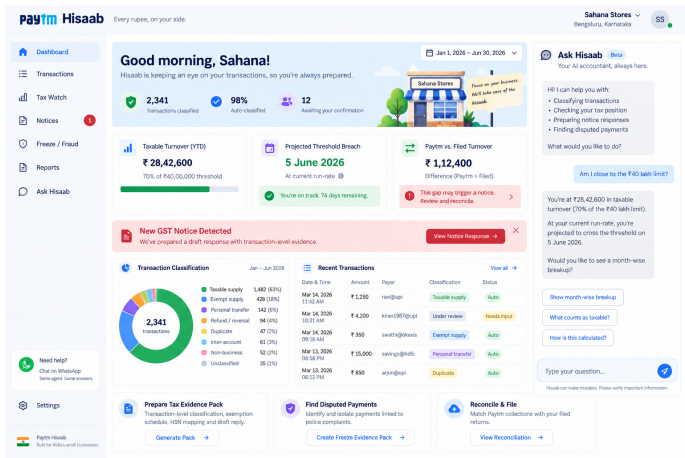
You cannot infer "my husband sent this" from a QR payment. The agent proposes a tag *with its reason*; she confirms with one tap, in Kannada, batched daily.

Not a fallback. A ledger she attested *at the time* survives a hearing. An algorithm's guess, made under duress a year later, does not.

Budget: at most 3 questions a day.

Over a simulated year: **189 questions, median 1.3 a day**. Ask more and the product is dead.

What the merchant sees



One surface: what every payment was classified as, how close she is to the threshold, and the packs. The same agent runs on WhatsApp, where she actually is.

Paytm Hisaab

Built on Phinite

Two agent graphs, four agents, ten deterministic skills

hisaab-watch (autonomous: cron + API)

Provenance	proposes a tag and a reason for the hard credits
Evidence	assembles packs: freeze evidence, then exemption schedules and HSN

hisaab-merchant (conversational: chat)

Merchant	the conversation: attestation, alerts, Kannada
Escalation	decides when to stop and route to a human CA

The nightly pass writes its queue to the ledger; the chat reads it when she opens it. Deliberately *not* a graph-to-graph call: a queue that outlives either run is what makes the handoff robust.

Permissions are the product

Provenance proposes, **never commits**.

Merchant is the *only* agent that can commit a tag.

Evidence is **read-only**. It cannot edit a classification to make a pack look better.

Escalation can **halt** any pack; a human approves.

Ten tools run live against a hosted service. Every number in a pack traces back, in the trace, to the credit and the attestation behind it.

Four decisions that make it defensible

1. Arithmetic lives in skills, not the model

Turnover, projections and apportionment are deterministic Python: versioned, testable, traceable. Wrapping arithmetic in an LLM is the standard tell, and the trace would show it.

3. Refusing to guess is a feature

An `unclassified` credit routed to the merchant costs one tap. A confident wrong tag inside an evidence pack is a catastrophe. We report the refusal rate honestly.

2. Attestation is the promotion boundary

Nothing enters a production pack that the merchant has not confirmed. Sandbox to UAT to prod, with her tap as the gate.

4. Ground truth, so accuracy is a number

We simulated a year of a shop's life from a known process, split into what Paytm can see and what really happened. Agents read only the visible half, which is why we quote error bars instead of vibes.

Demo · Sahana Stores, Jayanagar

An ordinary Tuesday, before anything goes wrong

Tuesday 10 March. Thirty-nine credits came in over the weekend. The agent asks about **three**.

ಭಾನುವಾರ ರಾತ್ರಿ ₹15,000. ನಿಮ್ಮ ಸ್ವಂತ ಹಣವೇ?
“₹15,000 at 11:04pm Sunday, from your savings
account. Your own money?”

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- ₹7,500 from her husband, scanned at the shop QR
- ₹4,850 from Raghu Shetty, who has bought twice before. A real sale, and the agent *asks* rather than assumes.

The other thirty-six settle silently, and a ₹23 payment nobody can place is left alone.

And yes, two of those three should not be there

A business QR is not for personal money, and the terms say so. It arrives anyway: family, own top-ups, a chit payout. The rule does not prevent it. It only means *nobody keeps a record of it*.

Paytm already reads the signals: channel, linked VPAs, payer history. What no system has is the **merchant's own answer**, given at the time, in her language, and kept.

That record is what the next two slides are built from: first for the police, then for the department.

Demo · The emergency

The account is frozen at 09:30 and the supplier payment is due

She sold someone 12kg of onions. That customer was three layers downstream of a fraud victim. She is not named in the FIR, which was filed in another state, and **339 payments** came in that week.

The agent isolates it

₹4,200 on 21 March at 19:47, till POS01. Matched by UTR *and independently* by amount and date.

The sale record comes with it: the POS bill, the items, the till and the minute.

And the decoy it did not choose

A *second* ₹4,200 that same week, from a regular customer. Listed in the pack, and explicitly *not* named as the disputed one. Only the date separates them.

Then it drafts the NCRP-CFCFRMS grievance, citing the judgments that only the *disputed amount* should be lien-marked, not the whole account.

It never asserts that she is innocent.

Some frozen accounts genuinely are mule accounts. The agent assembles evidence; a human decides. Escalation holds the pack for approval.

Demo · The warning, and the notice

The same ledger, read for the other authority

Replayed as of 31 January:

“At your current rate you cross ₹40 lakh around 14 March. You will need to register.”

43 days of warning, and the date is computed, not typed.

This beat is what makes the pitch safe.

Its first act on the tax side is telling her to register.

Then the notice arrives, claiming **₹60.98L** of turnover:

Aggregate turnover ₹42.2L within **1.6%** of truth

Exempt supplies	₹31.3L	vegetables, loose rice
Taxable supplies	₹10.9L	branded goods, oil, soap

Not turnover at all ₹18.8L every line traced

Her own accounts	₹7.4L	top-ups before supplier runs
Family	₹6.1L	spouse, parent, in-law
Loans, chit, gifts	₹4.3L	chit payout, festival gifts
Refunds, duplicates	₹1.0L	crate returns, double-taps

And it says plainly: **the claim is wrong, and you *did* cross ₹40 lakh on 14 March. You must register.**

What we can actually prove

One merchant, one year, 13,267 credits, scored against seeded truth

1.6%

error on aggregate turnover
(taxable share within 1%)

1.3 a day

median questions asked.
189 in a year, never over 3

43 days

of warning before the
threshold crossing

zero

credits left untagged
across the whole year

The honest baseline

A 50-line rules-only classifier gets 99.3% on sale vs not-a-sale, but catches only **77.8%** of non-sale credits.

That residue alone puts two eval merchants on the *wrong side* of ₹40L.

Closing it is what the agent plus one tap is for.

She corrected the agent 52 times that year. Those corrections are the ledger's strongest evidence, not its failures.

The line we do not cross

Accuracy, not minimisation

- We **never assert innocence** on a freeze. Some accounts really are mule accounts. We assemble evidence; a human decides.
- We **file nothing** with any authority. Artefacts only; the merchant or their CA files.
- We compute what she **genuinely owes** and say so plainly, including "you crossed the threshold, you must register."
- We **never assert a final liability**. We compute, show the workings, and route to a CA.
- A business QR is **not for personal money**. We do not excuse it. We record it, so it is not read as income.

Why this has to be Paytm

The rail is the only place provenance is cheap. Everyone else arrives eighteen months late, when the answer is already unrecoverable.

A frozen merchant cannot transact at all: dead Soundbox and zero GMV the same morning, before it becomes the sign on the shutter, "*No UPI. Cash only.*"

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